

Discount Brokers - Competitive Landscape

Groww vs Zerodha vs Angel One

Mutual Fund Distribution Funnel & Low CAC

Groww's acquisition model is structurally cheaper than legacy brokers -- it started as a mutual fund platform, not a broker.

- **The Funnel:** Launched in 2016 as a zero-commission MF platform -- the SIP user base serves as a near-zero-cost acquisition pipeline into broking.
- **The Operational Impact:** Angel One pays a significant CAC (Customer Acquisition Cost) for high-beta active traders. Groww acquires SIP investors cheaply, then upsells them via product nudges into equities and F&O -- building a resilient, diversified user base that holds up during market downturns.

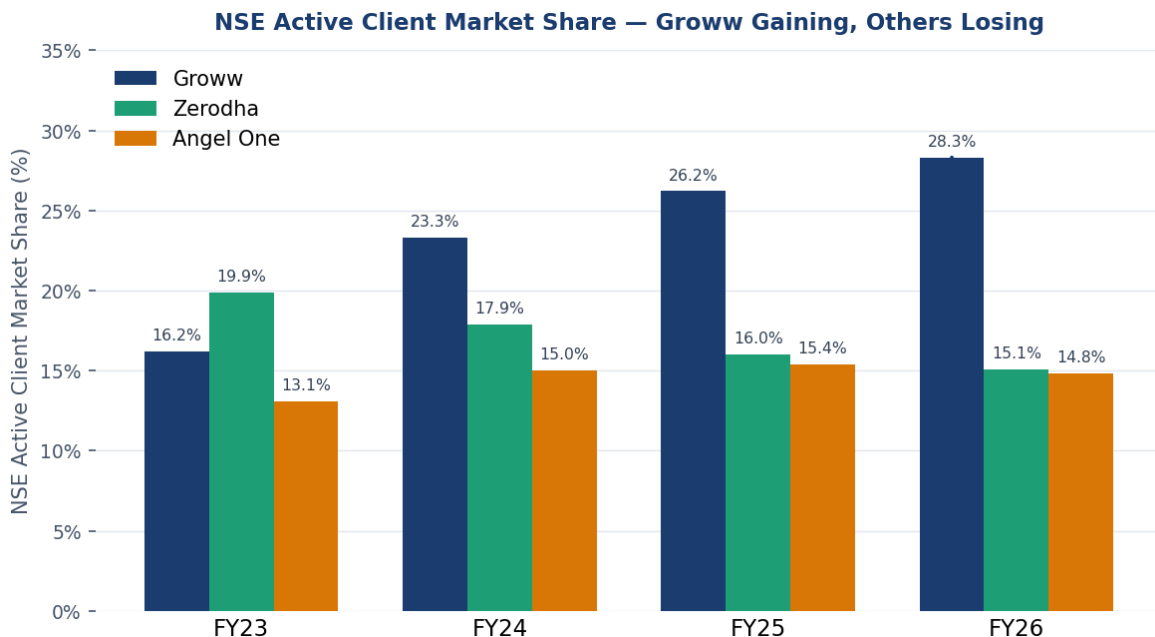
Ultra-Lean Operating Leverage

Both platforms run on predominantly fixed-cost infrastructure, generating strong operating leverage as revenue scales.

- Roughly 90% of Groww's operational costs are fixed (cloud infrastructure, clearing APIs, core engineering salaries).
- Marginal cost of adding users approaches zero once baseline infrastructure is in place -- enabling Groww to scale past 10M active users while compounding earnings.

NSE Active Client Market Share

Groww is the only player among the three to have grown its NSE active user base in FY26 -- reaching 28.3% share (+210 bps YoY). Zerodha fell to 15.1% and Angel One to 14.8%.

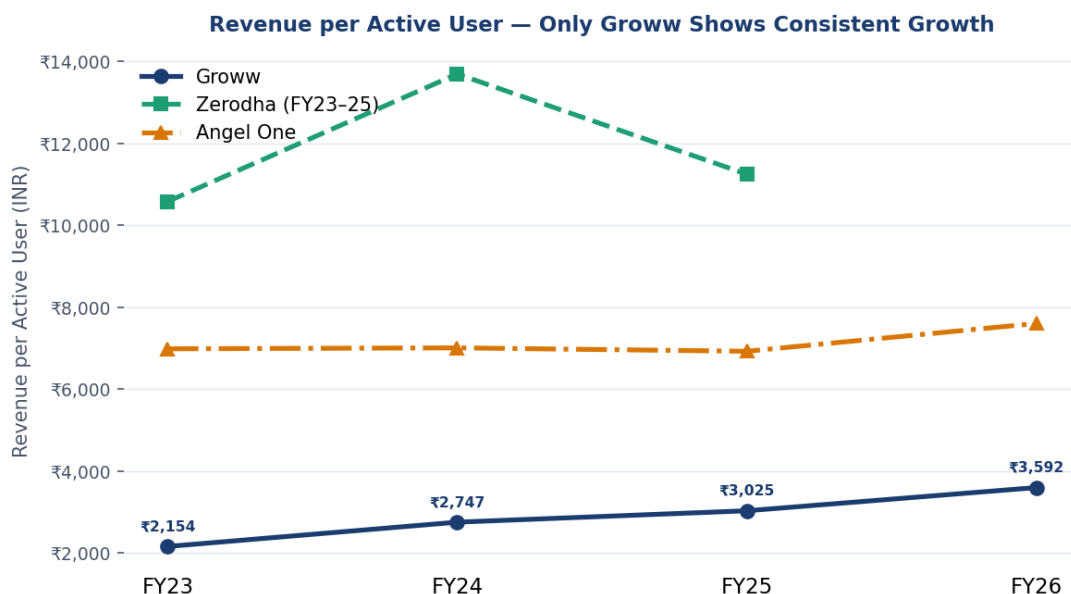


Source: NSE Active Client data

Revenue per Active User

Among the three platforms, only Groww has delivered consistent year-on-year improvement in revenue per active user.

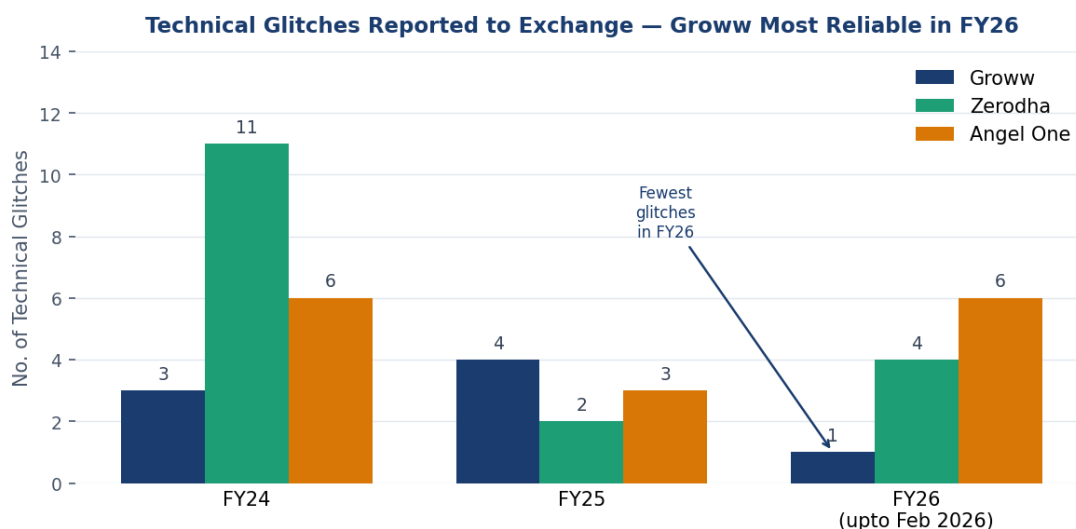
- Groww operates **High-Volume, Lower-Ticket Model**- massive chunk of its base consists of low-ticket equity delivery investors and passive SIP holder.
- Zerodha's user base is heavily skewed toward high-frequency, sophisticated Futures & Options (F&O) day traders. A single active F&O trader executing multiple lots a day generates more fee revenue than dozens of retail delivery investors holding stock long-term.



Note: Zerodha FY26 revenue not disclosed; Revenue per Active User= (Overall Revenue)/(NSE Active Users)

Platform Reliability: Technical Glitches Reported to Exchange

Groww reported just 1 technical glitch to the exchange in FY26 (up to February 2026) -- the fewest among all three platforms. This reflects the benefits of Groww's centralised, cloud-native architecture and reinforces its positioning as the most technically reliable platform in the peer group.



Source: Exchange-reported technical glitch data.

Why Groww & Zerodha have fewer SEBI Settlements

Regulatory divergence between Angel One and the Groww/Zerodha duopoly is primarily a function of distribution architecture.

- **Angel One's Decentralised Franchise Model:** Relies on thousands of APs/sub-brokers in Tier-2/3 cities. The human layer introduces compliance risk -- unauthorised trading, credential sharing, and fund mishandling at the sub-broker level have repeatedly triggered SEBI probes and settlement applications.
- **Groww & Zerodha's Pure-Play Centralisation:** Fully D2C -- no sub-brokers or franchises. Every transaction and onboarding step is programmatically controlled through centralised cloud infrastructure, minimising compliance surface area and keeping regulatory records clean.

Risk Management Systems (RMS) & Margin Philosophy

Margin philosophy reflects contrasting risk appetites: Groww and Zerodha cap effective collateral at ~80%, while Angel One pushes toward the regulatory maximum.

- **Groww's Conservative Haircut Policy:** Real-time RMS uses worst-case between LTP (Last Traded Price) and prior close. In volatile conditions, Groww applies haircuts beyond exchange mandates -- prioritising systemic safety over maximising traded volumes.
- **Angel One's Profitability via MTF:** MTF interest income is a key revenue driver, so Angel One offers maximum permissible leverage under SEBI's framework. Higher tail-risk is managed via aggressive auto-square-off, with the trade-off accepted to maximise funding margins.

Groww vs Angel One: Resilience Through Regulatory Headwinds

Effective from Oct and Nov 2024, SEBI introduced stringent regulations on Equity cash and F&O segments. Comparative ADTO data shows Groww materially outperforming Angel One across both Cash and Derivatives segments during the regulatory transition period:

ADTO Metric	Q3 FY25 Groww	Q3 FY25 Angel One	Q4 FY25 Groww	Q4 FY25 Angel One	Commentary
Cash ADTO (QoQ %)	-7%	-27%	-5%	-11%	Groww outperformed by 22pp / 6pp
Derivatives ADTO (QoQ %)	0%	-6%	0%	-14%	Groww held flat; Angel One fell sharply

Key takeaway: Groww outperformed Angel One on ADTO metric during the regulatory transition -- both in Cash and Derivatives %). This demonstrates superior structural resilience and positions Groww favourably for the recovery cycle now underway.

GROWW (BILLIONBRAINS GARAGE VENTURES LIMITED)

Investment Update

16.7M Active users (Q4 FY26)	₹3.0 Tn Customer assets (Q4 FY26)	66.1% EBITDA margin (Q4 FY26)	44.7% PAT margin (Q4 FY26)	~27% NSE market share (Q4 FY26)
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1. Company Overview

Groww (Billionbrains Garage Ventures Limited) is India's largest digital investment and broking platform by active users on the NSE. Founded in 2016 as a direct mutual fund platform, it has evolved into a comprehensive financial super-app offering equities, derivatives, commodities, mutual funds, ETFs, margin trading, and consumer credit. The Mutual Fund segment is currently not monetised -- it acts as a zero-cost acquisition channel that cross-sells users into revenue-generating products.

Milestone	Detail
Founded	2016 -- Direct Mutual Fund platform
Broking launch	FY2021 -- became #1 NSE broker by FY2024
Customer growth	5.4M (FY23) → 16.7M (Q4 FY26) 63% CAGR
Customer assets	₹0.47 Tn (FY23) → ₹3.0 Tn (Q4 FY26) 6.4× expansion

Founders & Management

- Led by four IIT/IIM alumni from Flipkart: Lalit Keshre (CEO), Harsh Jain (COO), Neeraj Singh (CTO), and Ishan Bansal (CFO).
- All four founders hold executive roles and board positions -- strong strategic alignment between ownership and management.

Funding Round	Date	Amount Raised (USD)	Estimated Valuation	Key / Lead Investors
Seed Round	Early 2018	~\$1.2M – \$1.3M	—	Y Combinator, CureFit founders
Series A	January 2019	\$6.2M	—	Sequoia Capital India (now Peak XV Partners), Insignia Ventures
Series B	September 2019	\$21.4M	—	Ribbit Capital, Sequoia Capital India, Y Combinator
Series C	September 2020	\$30.0M	—	YC Continuity, Propel Venture Partners
Series D	April 2021	\$83.0M	\$1.0B Unicorn	Tiger Global Management
Series E	October 2021	\$251.0M	\$3.0B	ICONIQ Growth, Alkeon Capital, Lone Pine Capital, Steadfast
Pre-IPO Round	May – Nov 2025	\$200M – \$250M	\$6.8B – \$7.0B	GIC (Singapore SWF), ICONIQ Capital, Tiger Global

Business Model -- The Zero-CAC Flywheel

Groww operates a zero-CAC flywheel where Mutual Fund SIPs serve as a frictionless onboarding channel. Key characteristics:

- 53% of active users are MF investors; 36% of new users are MF SIP-first.
- MF generates no direct revenue but cross-sells users along the path: MF → Stocks → MTF → Commodities.
- Over 8 million users now hold more than one product on the platform.
- Historically, CAC has ranged ₹796–₹1,374 per user, offset almost entirely by organic word-of-mouth -- structurally low-cost acquisition at scale.

Revenue Mix

Segment	Q2 FY25	Q3 FY25	Q4 FY25	Q2 FY26	Q3 FY26	Q4 FY26
Total Revenue (₹ mn)	8,018	9,745	8,010	10,187	12,161	15,355
Broking (incl. Derivatives)	83%	81%	76%	76%	75%	75%
-- Equity Derivatives (F&O)	68%	63%	57%	57%	53%	55%
-- Cash Equities (Stocks)	15%	18%	19%	19%	18%	16%
Float (Idle Cash)	8%	8%	8%	7%	7%	8%
MTF (Margin Trading)	1%	2%	2%	5%	6%	7%
Commodities	0%	0%	0%	0%	0%	4%
PL + LAS (Credit)	5%	7%	8%	6%	6%	5%
Treasury / Other	3%	2%	6%	6%	6%	5%

Note: Mutual Fund distribution generates 0% revenue -- it is a pure acquisition channel.

Operating Leverage -- Cost Structure

Groww's cost structure is strikingly fixed against a rapidly growing revenue base, producing exponential margin expansion. Costs as % of revenue:

Cost Category	FY23	FY25	Q2 FY26	Q4 FY26
Cost to Grow (Marketing)	21%	13%	12%	9%
Cost to Serve (Tech + Ops)	16%	15%	12%	11%
Cost to Operate (G&A)	26%	14%	14%	15%
Total Costs as % Revenue	63%	42%	38%	34%

Total costs fell to just 34% of revenue in Q4 FY26. Cost to Serve is flat as technology scales, Cost to Grow is structurally suppressed by organic acquisition, and G&A is predominantly fixed -- further revenue growth will flow disproportionately to the bottom line.

Marketing Spends as a % of revenue for Angel One was 13% in FY23 and 17% in FY25

2. Key Operating Metrics

Platform Scale & User Growth

Metric	FY23	FY25	Q2 FY26	Q4 FY26
Active Users (mn)	5.4	13.9	14.8	16.7
Customer Assets (₹ Tn)	0.5			3.0
MTF Book (₹ mn)		3,890	16,683	28,143
Revenue / Active User (₹)	2154	3025	688 (Qtrly)	919 (Qtrly)

Mutual Fund Traction

Metric	Q2 FY26	Q3 FY26	Q4 FY26
MF Inflows (₹ mn)	1,12,537	1,23,279	1,30,230
MF Market Share	13.1%	13.7%	14.0%

While MF generates no direct revenue, it is the primary pipeline for new trading clients.

3. Growth Engines

Margin Trading Facility (MTF) -- Fastest Growing Segment

The MTF book has compounded at 368% YoY to reach ₹28,143 Mn in Q4 FY26, with quarterly yield improving from 2.1% to 3.8% over the same period.

MTF Metric	Q2 FY25	Q3 FY25	Q4 FY25	Q2 FY26	Q3 FY26	Q4 FY26
MTF Book (₹ mn)	3,890	5,424	6,019	16,683	23,074	28,143
YoY Growth	--	--	--	329%	325%	368%
Quarterly Yield	2.1%	3.6%	2.7%	3.1%	3.2%	3.8%
Active MTF Users	20,000	26,000	37,000	78,000+	--	--

- MTF book grew from ₹3,890 Mn (FY25) to ₹28,143 Mn (Q4 FY26) -- over 7× in ~5 quarters.
- Interest charged at 14.95% p.a., in line with Angel One (14.99%). Product is heavily secured against demat holdings -- high-growth and high-quality collateral.
- Management targets double-digit market share in MTF over 3 years.

Commodities Trading -- New and Gaining Share

- Launched September 2025; now contributes 4% of total revenue by Q4 FY26.
- User base crossed 1 lakh customers within a few months of launch.
- Strong traction in gold and silver derivatives. Significant headroom given Groww's large equity user base.

Asset Management (AMC) -- Institutional Validation

- State Street Investment Management (SSIM) is investing ₹5,800 Mn for a ~23% stake in Groww's nascent AMC.
- Business remains in sub-scale buildout phase, but the partnership lends institutional credibility and distribution potential for Groww's own mutual fund products.
- High-optionality medium-term revenue stream

Wealth Management (Fisdom) -- Early Stage

- 100% acquisition of Fisdom (Finwizard Technology) completed in October 2025 for ~₹9,610 Mn.
- Fisdom run-rate adds ~3–4% to Revenue from Operations.
- Products: mutual funds, PMS, AIFs, insurance -- targeting Groww's 0.3 Mn+ affluent clients.
- Expected to reach profitability by FY28. Diversifies Groww's revenue DNA beyond transactional broking.

Consumer Credit (NBFC) -- Disciplined Scaling

- Book includes unsecured personal loans (PL) and Loan Against Securities (LAS).
- PL book ~₹1,140 Cr; LAS book ~₹60 Cr as of H1 FY26
- Credit costs have stabilised per management, with provisioning lower than prior quarters.
- LAS is a secured product -- lower risk profile.

Lending Book Credit Quality -- Watch Point

Provision to Loan Book ratio has risen significantly and warrants monitoring:

Lending Metric (₹ mn)	FY23	FY24	Q1 FY25	FY25	Q1 FY26
Provision for Loss Allowance	78.5	61	114	716	241
Gross Loan Book	0	7,303	9,633	11,365	11,639
Provision / Loan Book	--	0.8%	4.7%	6.3%	8.3%

Provision to Loan Book ratio has risen from 0.8% (FY24) to 8.3% (Q1 FY26) -- elevated relative to peers. Management plans to shift toward a better mix of secured assets. We flag this as a metric to monitor closely as the lending book scales.

4. Regulatory Environment

SEBI has taken multiple steps over FY25–26 to protect retail investors in derivatives.

Regulation	Effective Date	Impact
True-to-Label pricing (no hidden exchange rebates)	Oct 2024	Groww navigated well; minor impact
F&O min. contract size: ₹5–10L → ₹15–20L	Nov 2024	Option volumes dropped sharply
Weekly expiries limited to 1 per exchange	Nov 2024	Reduced speculative activity
STT hike: Futures 2bps→5bps, Options 10→15bps	2026 Budget	Higher transaction cost for retail

Groww's orders fell 29% over Q3–Q4 FY25 following SEBI's Oct 2024 action. Recovery has been strong -- Q4 FY26 revenue grew 92% YoY as the base effect reversed. Further regulatory action remains a key tail risk.

6. Valuation & Investment View

We value Groww analogously to exchange operators (BSE, MCX) -- **high-margin, asset-light businesses with direct leverage to retail investor participation and market volatility.**

- BSE and MCX have traded at median P/E upwards of 50x over the past three years (P/S basis: 25–30x median).
- We apply a 10–15% discount to reflect competitive intensity unique to brokers versus exchanges.
- **Target: 40–45x FY28E P/E or 20x P/S.**
- At 27x FY28E P/E with a **0.7x NTM PEG** and 40% EPS CAGR

7. Investment Thesis -- Summary

Groww is a high-conviction, asymmetric growth story in Indian financial services. With 28% NSE market share, a 66% EBITDA margin, and a zero-CAC acquisition engine, it earns exchange-like economics on a brokerage model.

✓ Strengths

- Largest Indian broker by NSE active clients (28% share)
- EBITDA margin of 66.1% -- exchange-like economics
- Zero-CAC flywheel: MF → Stocks → MTF → Commodities
- New growth engines: MTF (+571% YoY), commodities, wealth management
- Improving cost efficiency: total costs at 34% of revenue
- State Street validates AMC franchise quality

⚠ Watch Points

- 75%+ revenue still from broking -- concentration risk
- Regulatory tail risk on F&O volumes (SEBI)
- Lending book provision ratio rising: 8.3% as of Q1 FY26
- Fisdom integration -- early stage; profitability by FY28
- Valuation premium requires wealth segment to scale up
- NBFC credit quality -- still maturing
- Competitive pressure from Zerodha and Angel One

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